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POLICY NUMBER: **FP-FIN-037**

COSTS TO OBTAIN A CONTRACT

ACCOUNTING POLICY

The purpose of this policy is to document Hilton Worldwide Holdings Inc.'s ("Hilton") accounting for costs incurred to obtain a contract, for management and franchise agreements in accordance with U.S. Generally Accepted Accounting Principles ("GAAP") Accounting Standard Codification ("ASC").

POLICY STATEMENT

As part of the acquisition of contracts, Hilton may incur additional costs in order to obtain a contract. These costs may be capitalized and amortized over the associated agreement’s term as long as they are related to the acquisition of a management or franchise agreement (“MA” or “FA,” respectively) and would not have been incurred without the successful acquisition of that contract, see **Exclusions/Exceptions** section below.¹ For example, as part of the Development Teams’ compensation structure, the team members (“Developers”) are paid a commission upon the successful execution of an MA or FA.

APPLICABILITY

This policy applies to all Finance personnel, as well as Development, Human Resources, and Legal.

EXCLUSIONS/EXCEPTIONS

Contract Acquisition Costs: Refer to **FP-FIN-003 Contract Acquisition Cost Accounting Policy** for details on capitalizing payments made or incentives provided directly to the contracting third party of the contract that was acquired.

AUTHORIZATIONS

Required Consultations with Technical Accounting (“TA”)

N/A

INITIAL RECOGNITION AND MEASUREMENT

Hilton will capitalize the incremental costs that would not have been incurred but for the successful acquisition of a contract as an intangible asset in its Consolidated Balance Sheet if Hilton expects to recover those costs through the revenue earned on the contract acquired.¹ For example, a development commission will be capitalized when the commission is earned by the employee (i.e., when the commission is accrued, which generally coincides with the approval or execution of the specific MA or FA). Other incremental costs could include a payment to a third-party hotel or resort owner (“Owner”) in order for that Owner to waive an Area of Protection (“AOP”) so Hilton can enter into an MA or FA with a second Owner for a second property. Those incremental costs would generally be capitalized upon opening of the second property; as, even though they were paid to the first owner, they were incurred in order to obtain the MA or FA for second property.

SUBSEQUENT MEASUREMENT

a. General

Prior to Hotel Opening

If an MA or FA is terminated prior to the hotel opening, the capitalized costs will be recognized within “Other expenses” in the Consolidated Statement of Operations upon contract termination.

Hotel Opening

The capitalized costs will be amortized as amortization expense on a straight-line basis over the agreement term (including any renewal periods at Hilton’s sole option), beginning upon hotel opening.²

Early Contract Termination

If an agreement is terminated prior to its contractual expiration date, reducing the total contractual term, the amortization of the remaining net book value of the capitalized costs will be accelerated and recognized prospectively on a straight-line basis from the date the termination notice is received through the revised termination date.³

¹ ASC 340-40-25-1 through 25-2, *Other Assets and Deferred Costs, Contracts with Customers, Recognition*

² ASC 340-40-35-1, *Other Assets and Deferred Costs, Contracts with Customers, Subsequent Measurement*

³ ASC 340-40-35-2, *Other Assets and Deferred Costs, Contracts with Customers, Subsequent Measurement*

b. Impairment

If the expected fee revenue that will be recognized throughout the remaining term of the contract (including any deferred revenue related to the contract), less the related costs to provide the goods and services under the contract is less than the carrying amount of the intangible asset, an impairment loss should be recognized for the difference between the two amounts.⁴ If an impairment loss is recognized, the adjusted carrying amount of the intangible asset shall be its new cost basis. This new cost basis shall be amortized over the remaining term of the related contract. Restoration of a previously recognized impairment loss is prohibited.⁵

PRESENTATION*Consolidated Financial Statements Reporting*

Hilton capitalizes costs to obtain a contract within 'Management and franchise contracts, net' line item in the Consolidated Balance Sheet. Hilton amortizes these costs within the 'Depreciation and amortization' line item in the Consolidated Statement of Operations. The cash payments associated with these costs are presented within the operating activities section of the Consolidated Statement of Cash Flows.

FINANCIAL STATEMENT LINE ITEMS AFFECTED

Note: The following section addresses the financial statement line items affected by the accounting for routine transactions covered by this policy (TA consultation not required per the authorization section above).

Transaction	Affected		
	Balance Sheet Line Item	Income Statement Line Item	Cash Flow Statement Section (if applicable)
Capitalization of costs to obtain a contract	- Management and franchise contracts, net (debit) - Accounts payable, accrued expenses and other (credit)	- N/A	- Operating (outflow)
Amortization of costs to obtain a contract	- Management and franchise contracts, net (credit)	- Depreciation and amortization expense (debit)	- Operating (non-cash reconciling item to net income)
Write-off of capitalized costs to obtain a contract (agreement terminated prior to hotel opening)	- Management and franchise contracts, net (credit)	- Other expense (debit)	- Operating (non-cash reconciling item to net income)
Accelerated amortization of costs to obtain a contract (agreement terminated subsequent to hotel opening and prior to contractual expiration)	- Management and franchise contracts, net (credit)	- Depreciation and amortization expense (debit)	- Operating (non-cash reconciling item to net income)

⁴ ASC 340-40-35-3, *Other Assets and Deferred Costs – Contracts with Customers, Subsequent Measurement*

⁵ ASC 340-40-35-6, *Other Assets and Deferred Costs – Contracts with Customers, Subsequent Measurement*

RELATED DOCUMENTS, TOOLS, AND TEMPLATES

POLICIES & PROCEDURES

[FP-FIN-003 Contract Acquisition Costs Accounting Policy](#)

ROLES AND RESPONSIBILITIES

ENTITY/PERSONNEL	RESPONSIBILITIES
For questions refer to Technical_Accounting@Hilton.com	The email represents the Technical Accounting contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the Technical Accounting team or the listed email.